

Geojit Investments Limited

September 16, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term / Short-term bank facilities	RBI	393.00	CARE A+; Stable / CARE A1+	Reaffirmed
Commercial paper	RBI	100.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has considered consolidated financials of Geojit Financial Services Limited (GFSL) comprising its seven subsidiaries (including Geojit Investments Limited [GIL] and Geojit Credit Private Limited [GCPL]), one associate, and one joint venture (JV; together referred to as the Geojit Group) while arriving at ratings.

Issuer ratings assigned to GFSL factors in its strong capitalisation profile, reflected in a tangible net worth (TNW) of ₹1,245.67 crore as on March 31, 2026. Ratings also derive comfort from the group's healthy liquidity position and negative net debt status, which provide financial flexibility and support its growth initiatives. GFSL benefits from its established track record of nearly three decades in the retail broking industry, particularly in the cash delivery segment, supported by an experienced management team.

While profitability has remained susceptible to fluctuations in brokerage income owing to market-related volatility, CareEdge Ratings notes that the company has been strategically investing in manpower, branch expansion, and product capabilities to scale up its wealth management and distribution franchise. GFSL has been progressively diversifying its revenue streams beyond traditional broking activities as reflected in the steady growth of Annual Recurring Revenue (ARR) assets, mutual fund assets under management (AUM), insurance distribution, Portfolio Management Services/Alternate Investment Fund (PMS/AIF) assets, and the increasing share of recurring revenue. The contribution of recurring income to the wealth and distribution segment has increased materially over the years, reducing the company's dependence on transaction-driven brokerage revenues and improving earnings visibility. Although these investments have led to elevated operating costs in the near term, the ongoing expansion of the wealth management business is expected to strengthen the stability and resilience of the group's revenue profile in the medium term. GFSL's limited reliance on fund-based borrowings and its strong liquidity position continue to provide adequate protection against earnings and cash flow volatility arising from capital market cycles.

However, these strengths are partially offset by GFSL's modest scale and geographically concentrated operations and its inherent exposure to the capital market volatility, which can impact revenue sustainability across market cycles. The company also remains exposed to regulatory risk, given the evolving market framework, and to intense competition from established players and new-age digital platforms.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating actions/upgrade:

- Significant improvement in market share, geographical diversification, and profitability while maintaining a comfortable capital structure on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating actions/downgrade:

- Significant deterioration in retail cash segment volumes and profitability.
- Weakening of the capital structure leading to consolidated gearing remaining higher than 2x on a sustained basis.
- Sustained decline in consolidated return on net worth (RONW) below 9% for Geojit group.

Analytical approach:

CareEdge Ratings has analysed GIL's standalone credit profile, factoring linkages with the parent company, GFSL, owing to its strong operational and business linkages being a 100% subsidiary of GFSL.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Outlook: Stable

The 'Stable' outlook reflects CareEdge Ratings' expectation that the group will maintain stable operational and financial performance while maintaining comfortable capitalisation levels.

Detailed description of key rating drivers:**Key strengths****Long track record in capital market services supported by experienced leadership**

GFSL has established a strong presence in the Indian capital markets ecosystem over nearly four decades since its inception in 1987. The company has built a well-recognised franchise in retail broking segment, especially in cash market segment, as reflected in its market share of 0.54% in retail cash segment in FY26. GFSL caters to customers preferring investment over speculative trading activities leading to high cash delivery volumes compared to intraday cash volume. This is reflected from the client stickiness, where majority customers are associated with the company for over 10 years, which has enabled GFSL to sustain retail cash market turnover even during periods of subdued market activity.

The company is currently guided by a renewed leadership team that combines deep industry expertise with a strategic focus on business diversification and long-term value creation. While GFSL's strong foundation has been built on its leadership in the broking business, the management has increasingly focused on expanding the wealth management and distribution franchise to create a more balanced and resilient revenue profile. This strategic transition is evident from the significant growth in recurring revenue assets, mutual fund distribution assets, insurance distribution, and alternative investment products, such as AIFs and PMS offerings.

CareEdge Ratings takes note of the planned management succession at GFSL, which reflects a structured transition of leadership within the promoter family. Effective October 1, 2026, Jones George, currently Executive Director and Whole-time Director of the company, is slated to assume the role of Managing Director for five years, subject to shareholders' approval. Jones George will succeed C. J. George, who will step down as Managing Director and continue to serve as Executive Chairman of the company. Given Jones George's existing involvement in the business and the continuity provided by C. J. George's ongoing association as Executive Chairman, CareEdge Ratings expects the transition to be smooth, with no material disruption to the company's strategic direction, operational execution, or governance framework.

Comfortable capital structure

On a consolidated basis, GFSL maintains a comfortable capitalisation profile. As on March 31, 2026, the company reported a gearing of 0.20x including non-fund-based debt and 0.05x excluding the same, supported by a TNW of ₹1,245.67 crore. TNW improved to ₹1,245.67 crore as on March 31, 2026, supported by internal accruals. Despite the expansion of its lending business under its non-banking financial company (NBFC) arm, GCPL, the company has kept consolidated leverage within prudent levels. CareEdge Ratings expects GFSL to maintain its gearing below 1.0x going forward, in line with its conservative capital management practices. The company's resource profile primarily comprises overdraft (OD), working capital demand loan (WC DL), and bank guarantee (BG) facilities, all secured against fixed deposits. Given the short-tenor nature of its lending portfolio, the funding mix is expected to remain skewed toward short-term borrowings. CareEdge Ratings expects GFSL to maintain comfortable capital structure keeping the consolidated level gearing below 2x going forward.

Strengthening revenue diversification with growing recurring income streams

On a consolidated basis, GFSL reported a profit after tax (PAT) of ~₹84 crore on a total income of ~₹676 crore in FY26, compared to a PAT of ₹172 crore on a total income of ₹749 crore in FY25. The decline in profitability was primarily attributable to weaker capital market activity and the resultant moderation in transaction-based revenues across the broking industry and increase operational cost driven by expansions in newer business segments. Despite the near-term pressure on earnings, the company has continued to execute its strategic objective of building a more diversified and resilient business model through the expansion of recurring revenue streams. This strategic shift has gradually reduced the company's dependence on volatile broking income and improved the quality and visibility of earnings. The changing revenue mix reflects this transition, with the contribution of transaction-based income declining to 49% in FY26 from 57% in FY25, while the share of recurring business increased to 38% from 32% over the same period. The growth in recurring revenues has been supported by a steady increase in recurring revenue-generating assets (ARR assets), which rose from ₹17,871 crore in March 2024 to ₹23,230 crore in March 2026. Consequently, recurring revenue assets as a percentage of customer assets improved from 19% to 24% during the period. This reflects the company's success in deepening client engagement, increasing wallet share, and cross-selling higher-yield wealth management products to its existing customer base.

Key weaknesses**Modest scale of operations and geographic concentration**

GFSL's scale of operations remains modest, as reflected in its retail cash market share of 0.54% in FY26, in line with 0.59% in FY25. As on June 30, 2026, GIL ranked 18th in terms of active client base on the National Stock Exchange (NSE), indicating a stable, despite limited, market presence. Although GFSL has digital presence, it follows a branch led service model with majority branches concentrated in south India. The company's strategy remains centred on leveraging its sticky retail client base to drive higher transaction volumes and enhance average revenue per client. Concurrently, GFSL is focused on scaling its mutual fund distribution and other third-party product businesses to diversify revenue streams and reduce reliance on broking income.

GCPL (NBFC arm of the group) is in nascent stage of operations. It started providing digital loan against securities (LAS) to customers in FY22. GCPL had a book size of ₹132.69 crore in March 2026, which increased to ₹142.58 crore as on June 30, 2026. The company currently finances its loan book through a mix of owned funds and debt, with a significant portion of the funding provided by promoters and affiliated group companies.

The company predominantly serves GFSL's existing clientele, while also extending its services to non-GFSL customers, providing complementary service to GFSL's clients. The groups NBFC company's performance and scalability remain a key monitorable as it has limited seasoning.

Exposure to volatile capital markets, regulatory risk, and intense competition

Despite the progress made in diversifying its revenue profile, GFSL's earnings remain meaningfully linked to capital market activity and investor sentiment. Revenue from equity and equity-related businesses, including brokerage, depository services, and interest income from clients, continued to account for a significant 49% of total income in FY26. Consequently, the company's financial performance remains susceptible to fluctuations in trading volumes, market volatility, investor participation, and overall capital market conditions, as reflected in the moderation of operating income and profitability in FY26. GFSL also operates in a highly competitive industry characterised by the presence of established full-service brokers, banks, wealth management firms, and technology-led discount broking platforms. The competitive landscape continues to exert pressure on pricing, client acquisition costs, and margins, particularly in the broking business. The company's operations remain exposed to regulatory risks, including changes in brokerage regulations, distribution commission structures, investor protection measures, and capital market policies, which could have an adverse impact on business volumes, revenue generation, and profitability.

Liquidity: Strong

As on June 30, 2026, GFSL (on a standalone basis) had no outstanding fund-based borrowings and had free cash and bank balance of ~₹57 crore. At consolidated level, the unutilised bank guarantee limit was at ~₹70.5 crore as on June 30, 2026, and unutilised overdraft limit of ~₹305 crore.

Assumptions/Covenants: Not applicable**Environment, social, and governance (ESG) risks**

Given GFSL's service-oriented nature of business, its direct exposure to environmental risks remains low. However, as a responsible financial services organisation, GFSL's focus is on minimising our environmental footprint by reducing resource intensity across our infrastructure and digital ecosystem, while strengthening governance and climate resilience. GFSL's approach is anchored in efficient energy use, responsible resource management and sustainable workplace practices, supported by a structured ESG framework.

Applicable criteria[Definition of Default](#)[Rating Outlook and Rating Watch](#)[Financial Ratios - Financial Sector](#)[Service Sector Companies](#)[Broking Firms](#)[Short Term Instruments](#)[Notching by factoring Linkages with parent](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Capital markets	Stockbroking and allied

Geojit Investments Limited

GIL is a wholly owned subsidiary of GFSL, incorporated as on March 26, 2023, to carry on broking business including online broking for equities, commodities, derivatives and currency futures, custody accounts, margin funding, and depository business among others. GIL is engaged in stock broking and its allied activities pursuant to a Business Transfer Agreement between GFSL and GIL.

GFSL had transferred its broking business and its related activities (including clearing and settlement), margin financing business, depository participant services and research analyst business) carried on as a 'going concern' on 'slump sale' basis to GIL, its wholly owned subsidiary to comply fully with applicable regulations. This transfer has been effected as on March 21, 2025.

GIL Standalone

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	448.94	362.46	90.98
Profit after tax (PAT)	101.72	1.68	4.88
Tangible net-worth	95.89	77.66	82.85
Loan book (margin trading facility)	433.71	468.43	NA
Overall Gearing* (x)	8.09	11.12	NA
Cost-to-income (%)	67.67%	98.64%	91.41%
Return on net-worth (RONW) (%)	-234.58%	1.94%	24.33%

*including sanctioned non-fund-based limits

A: Audited; UA: Unaudited; Note: These are latest financial results available.

All calculations per CareEdge Ratings.

About the parent

GFSL is a diversified investment services provider offering broking services across equities, commodities, derivatives, and currency futures, and margin funding and custody account services through its wholly owned subsidiary, GIL. The company also provides a broad range of financial solutions, including distribution of financial products, private wealth management, portfolio management services, and other related investment and advisory services.

The company was established in 1987 as a partnership firm by C. J. George and Associates and was subsequently incorporated as a public limited company. In 2007, BNP Paribas acquired a significant stake in GFSL. As on March 31, 2026, BNP Paribas held 7.44% of the equity, followed by the promoter family with 22.67% and Kerala State Industrial Development Corporation (KSIDC) with 8.36%.

GFSL serves resident and non-resident Indian (NRI) clients. It has operations in Oman, Kuwait, and the United Arab Emirates through subsidiaries, an associate, and a JV. Within India, it operates through a network of branches and franchisees, with a large share of its clientele and offices in Tier-II and Tier-III cities.

As on June 30, 2026, GFSL's extensive distribution network consists of over 525 offices (across India and GCC) spread over 20 states and three union territories in India and four Middle Eastern nations. The company has a strong presence in Tier II and Tier III cities in India with 79% branch network and 77% clientele situated there. As on June 30, 2026, the company's customer assets stood at ₹1.11 lakh crore and has 16.96 lakh clients.

GFSL or Geojit group (group) has seven subsidiaries, one associate and one JV. Its shares are listed on the NSE and the Bombay Stock Exchange (BSE).

GFSL Consolidated

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	749.32	675.96	168.98
Profit after tax (PAT)	172.49	83.58	19.83
Tangible net-worth	1,126.63	1,245.67	1,263.08
Loan book (margin trading facility)	433.71	468.43	NA
Overall Gearing (x)	0.27	0.20	NA
Cost-to-income (%)	68.76%	82.23%	84.01%
Return on net-worth (RONW) (%)	17.88%	7.05%	6.32%

A: Audited; UA: Unaudited; Note: These are latest financial results available.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	NA	-	-	-	100.00	CARE A1+
Fund-based/Non-fund-based-LT/ST	RBI	Simple	-	-	-	-	393.00	CARE A+; Stable / CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based/Non-fund-based-LT/ST	LT/ST	393.00	CARE A+; Stable / CARE A1+	-	1)CARE A+; Stable / CARE A1+ (17-Sep-25)	-	-
2	Commercial Paper-Commercial Paper (Standalone)	ST	100.00	CARE A1+	-	1)CARE A1+ (17-Sep-25)	-	-

LT: Long term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Sudam Shrikrushna Shingade Director CARE Ratings Limited Phone: +91-22-6754-3453 E-mail: sudam.shingade@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Yogesh Rochani Assistant Director CARE Ratings Limited Phone: 22-67543608 E-mail: Yogesh.Rochani@careedge.in
	Ujjwala Oke Lead Analyst CARE Ratings Limited E-mail: Ujjwala.Oke@careedge.in

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